covered persons intend to trade SBS have received an exemptive order contemplated by Rule 833(a); and (iv) any other factor that the Commission believes is relevant for assessing whether the exemption is in the public interest and consistent with the protection of investors.[590]

As with other exemptions issued pursuant to section 36, to issue a Rule 833(b) exemption, the Commission would be required to find that the exemption is necessary or appropriate in the public interest, and consistent with the protection of investors. As contemplated by section 36(a)(1), the Commission may issue a Rule 833(b) exemption with conditions.

One commenter expresses general support for the establishment of a rule granting exemptions for foreign trading venues and for cross-border trade execution exemptions, noting that "difficulties that can arise when the trade execution requirement applies in two separate jurisdictions" and that "it is important for market participants and trading venues to have regulatory certainty while maintaining flexibility in where transactions may be consummated."[591]

Another commenter believes the Commission's proposed exemption rule should be made more robust to prevent evasion of the SBSEF registration and trade execution requirements. This commenter believes that Rule 833 does not provide meaningful standards for how the Commission will assess requests for such exemptions, which this commenter believes is insufficient, and provides the Commission with "unreasonably broad, nearly unlimited, discretion, in how it assess foreign swaps regulatory frameworks," which this commenter

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590 For a more detailed discussion of the items in Rule 833(b)(2) that the Commission may consider, *see* Proposing Release, *supra* note 1, 87 FR at 28925–26.

591 Bloomberg Letter, *supra* note 18, at 18. However, as discussed below in this section VII.B, this commenter criticizes various aspects of Rule 833.

believes may result in the Commission "facilitating evasion of Title VII."[592] This commenter states that the Dodd-Frank Act "requires that the SEC must, at the very least … make an affirmative determination that such an application demonstrates that the exemption could not be used to evade those requirements[, which would] require the SEC [to] make a credible, comprehensive determination that the foreign regulatory requirements applicable to the applicant is actually written, applied and enforced, are the same as those that would otherwise apply to the applicant absent an exemption."[593]

One commenter argues that Rule 833(b)'s requirements are unnecessary if a foreign trading venue has received an exemption under Rule 833(a), given that the Commission would be required to find that the Rule 833(a) exemption is "necessary or appropriate in the public interest and consistent with the protection of investors," which this commenter believes "should be sufficient for the purposes of trading SBS on foreign trading venues, even when the trade execution requirement applies."[594] Thus, this commenter requests that the Commission "remove the 833(b) exemption and clarify that … if a foreign trading venue has been granted an 833(a) exemption …, a market participant should be permitted to trade SBS on that venue."[595]

Another commenter does not believe the exemptions in Rule 833 are sufficiently clear, and requests that the Commission consider setting forth charts or examples to better facilitate compliance.[596]

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592 Better Markets Letter, *supra* note 18, at 16.

593 *Id.*

594 Bloomberg Letter, *supra* note 18, at 7.

595 *Id.*

596 *See* SIFMA AMG Letter, *supra* note 18, at 11–12.

With respect to Rule 833(b) specifically, several comments appear to anticipate that, in order for a transaction on a foreign SBS trading venue to qualify for the trade execution exemption under Rule 833(b), the relevant foreign jurisdiction would have to require RFQ-to-3 or an order book for Required Transactions.[597] One commenter states that "the CFTC, appropriately in our view, recognized that there are multiple ways that a regulator can ensure appropriate pre-trade transparency and competition, such that restricting execution methods to [central limit order books] and RFQ-to-3 systems are not the only ways to achieve these objectives. Failing to recognize this fact in the course of making comparability determinations would incorrectly turn the statutory comparability standard into a test for identical rules."[598] Two commenters state that it would be difficult for many foreign SBS trading venues to demonstrate comparability if RFQ-to-3 and an order book were required, with one stating that "[f]ew jurisdictions require RFQ to 3, and some do not require SBS to be traded on an organized trading venue."[599]

Two commenters oppose requiring an exemption under Rule 833 to depend upon a "rule-by-rule" comparison or analysis. One commenter states that this would be "unduly burdensome

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597 *See* Bloomberg Letter, *supra* note 18, at 6; Tradeweb Letter, *supra* note 18, at 5–6; ISDA-SIFMA Letter, *supra* note 18, at 14. *See also* ICE Letter, *supra* note 18, at 4.

598 Tradeweb Letter, *supra* note 18, at 6.

599 Bloomberg Letter, *supra* note 18, at 6. *See also* ICE Letter, *supra* note 18, at 4 (stating that "EU and UK based multilateral trading facilities are not required under their home country regulation to ensure that a request-for-quote be sent to three different recipients or offer a central-limit-order-book" and thus the proposed criteria cannot be satisfied from the outset); Bloomberg Letter, *supra* note 18, at 19 (stating that "at least three Bloomberg-affiliated [foreign venues] would seek an exemption" but may be "effectively barred at the door by the Proposal's requirement that security-based swaps are subject to a trade execution requirement in the foreign jurisdiction that is comparable to that in 15 U.S.C. 78c-3(h) and the Commission's rules thereunder"); ISDA-SIFMA Letter, *supra* note 18, at 14 (stating that hardly any (if any at all) foreign trading venues would be able to enjoy an Exempt SBSEF status and that, as far as the commenter is aware, none of the CFTC recognized multilateral trading facilities or organized trading facilities are required to offer a central limit order books on their platforms).

and at odds with the overall goal of achieving comparable outcomes."[600] The other commenter requests that the Commission adopt "a more flexible approach to the recognition of foreign trading venues—one that relies on holistic outcomes and governing principles, rather than a rule-by-rule analysis."[601]

Several commenters believe that Rule 833, as they understand it, would result in various negative consequences. One commenter states that covered persons would not be able to fulfill the trade execution requirement and that, as a result, market participants would then be forced to trade on a limited subset of venues, disrupting liquidity and requiring them to expend time and resources in onboarding to a compliant trading venue.[602] Another commenter warns that "the limited liquidity in the SBS market is not going to withstand significant disruptions, increased costs, and market fragmentation, thus making it more likely for market participants to exit the SBS markets entirely."[603] This commenter believes that the Commission's approach "will force market participants to trade SBS within the jurisdictional borders of the United States, restricting access to global liquidity and thus further diminishing already thin SBS markets," rather than "the decision where to trade the most standardized and liquid swaps [being] dictated by the available liquidity and prices in global markets."[604] Similarly, another commenter contrasts the approach taken under Rule 833 with the approach the CFTC has taken to exempt certain foreign SEFs from SEF registration, and states that Rule 833 would prevent covered persons from trading SBS on such exempt SEFs and would impair their ability to manage risk effectively.[605] If

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600 Bloomberg Letter, *supra* note 18, at 7.

601 ISDA-SIFMA Letter, *supra* note 18, at 15.

602 *See* Bloomberg Letter, *supra* note 18, at 6–7. *See also* Tradeweb Letter, *supra* note 18, at 6.

603 ISDA-SIFMA Letter, *supra* note 18, at 15. *See also* Tradeweb Letter, *supra* note 18, at 6.

604 ISDA-SIFMA Letter, *supra* note 18, at 14.

605 *See* ICE Letter, *supra* note 18, at 4.

covered persons are no longer able to trade SBS on these venues, this commenter states, they also "may not find it feasible to trade other instruments, such as swaps and foreign corporate debt, due to the bifurcation of liquidity that will result."[606] This commenter states that the ability to combine trading interest in related products on the same trading platform is critical to the effective transfer of risk within the financial system, and preventing "this single pool of liquidity jeopardizes that risk transfer and impairs price formation and ultimately increases systemic risk."[607]

These commenters argue that the Commission should instead align with the CFTC's approach to exemptions, which does not require exempt foreign SEFs to have order books or to satisfy the RFQ-to-3 requirement, stating that the CFTC's "flexible, outcomes-based approach serves market participants well."[608] One commenter argues for the Commission to avoid the "unintended economic disadvantage if other global market participants avoid trading with the managers' non-US fund clients solely to avoid being subject to the Commission's SBSEF requirements" and the significant costs and burdens that would arise if the two regulatory approaches produce different outcomes for swaps and SBS.[609] These commenters state that the CFTC has "already granted exemptions to a number of foreign trading venues across jurisdictions in Europe and Asia,"[610] with one commenter stating that the "CFTC process, while imperfect, provides a more streamlined and workable approach for the Commission."[611]

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606 *Id.*

607 *Id.* at 4–5.

608 Bloomberg Letter, *supra* note 18, at 7. *See also* ISDA-SIFMA Letter, *supra* note 18, at 14–15; Tradeweb Letter, *supra* note 18, at 6.

609 ICI Letter, *supra* note 18, at 14.

610 Bloomberg Letter, *supra* note 18, at 7. *See also* ICE Letter, *supra* note 18, at 4. *See also* ISDA-SIFMA Letter, *supra* note 18, at 14.

611 Bloomberg Letter, *supra* note 18, at 7.

These commenters argue that the Commission should "ensure that its proposed approach to granting exemption will produce outcomes similar to those of the CFTC" so as to "further harmonize with the CFTC's SEF framework, and promote consistency and simplicity…."[612] Several of these commenters recommend that the Commission grant automatic exemptions for trading venues that are currently exempt under the CFTC's rules.[613] Some commenters stated that this approach would be consistent with the Commission's general approach of harmonizing closely with the CFTC's SEF rules where appropriate and also stated that, as there are no distinctions outside of the United States between the regulation of swaps and the regulation of SBS, SBS are currently traded on foreign venues that have been recognized by the CFTC.[614] Three commenters requested that the Commission recognize such exemptions (i.e., CFTC-exempt SEFs as "exempt" SBSEFs) at the adoption of Regulation SE.[615] And one of these three commenters also requests that, in the alternative, and "in order to avoid duplicative or conflicting regulation … the Commission grant an exemption from the trade execution requirement if the SBS transaction at issue is subject to mandatory trading in another jurisdiction."[616]

The Commission has considered the comments received for Rule 833 and is adopting the rule as proposed. As the Commission stated in the Proposing Release,[617] Rule 833(a) is designed to address only activities relating to providing a market place for SBS and would not extend to

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612 ICI Letter, *supra* note 18, at 14. *See also* Bloomberg Letter, *supra* note 18, at 7, 18; ISDA-SIFMA Letter, *supra* note 18, at 14–15; Tradeweb Letter, *supra* note 18, at 6.

613 *See* Bloomberg Letter, *supra* note 18, at 7, 18; ISDA-SIFMA Letter, *supra* note 18, at 14–15; Tradeweb Letter, *supra* note 18, at 6.

614 *See* Bloomberg Letter, *supra* note 18, at 18–19; ISDA-SIFMA Letter, *supra* note 18, at 14–15.

615 *See* ICE Letter, *supra* note 18, at 5; ISDA-SIFMA Letter, *supra* note 18, at 15; Tradeweb Letter, *supra* note 18, at 6.

616 ISDA-SIFMA Letter, *supra* note 18, at 15.

617 *See* Proposing Release, *supra* note 1, 87 FR at 28924.

trading in any other type of security or to other activities with respect to SBS.[618] A foreign SBS trading venue covered by an exemptive order under Rule 833(a) might offer trading in other types of securities; however, the exemptive order would permit covered persons to trade only SBS on that trading venue without causing the trading venue to have to register with the Commission as a national securities exchange, SBSEF, or broker. The exemptive order would not address any registration obligations that might arise from any other SBS-related activity or any activity involving non-SBS securities by the foreign trading venue.[619]

The bulk of the comments received opposing Rule 833 appear to emanate from commenters' interpretation—and misunderstanding—of what would be required in order to receive a Rule 833(b) exemption. The Commission proposed Rule 833(b) to address requests for exemptive relief relating to the application of the trade execution requirement under section 3C(h) of the SEA to transactions executed on a foreign SBS trading venue. Pursuant to section 3C(h) of the SEA, an SBS that is subject to the trade execution requirement must be executed on an exchange, on an SBSEF registered under section 3D of the SEA, or on an SBSEF that is exempt from registration under section 3D(e) of the SEA.[620] As a result, a covered person (as defined in Rule 832) would not be permitted to execute an SBS that is subject to the trade execution requirement on a foreign SBS trading venue unless that venue has registered with the

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618 For example, although a foreign trading venue covered by a Rule 833(a) exemption would be exempt from the definition of "broker," that exemption would extend only to the operation of a market place for SBS and would not permit the foreign trading venue to otherwise act as a securities broker using U.S. jurisdictional means.

619 The Commission also emphasizes that a Rule 833(a) exemption would not have any impact on section 6(*l*) of the SEA, 15 U.S.C. 78f(*l*), which makes it unlawful for any person to effect a transaction in an SBS with or for a person that is not an ECP, unless such transaction is effected on a national securities exchange registered pursuant to section 6(b) of the SEA. Because a foreign SBS trading venue covered by a Rule 833(a) exemption would not be registered as a national securities exchange, the foreign SBS trading venue would not be permitted to effect SBS transactions with or for a covered person that is not an ECP.

620 Section 3D(e) of the SEA gives the Commission authority to exempt an SBSEF from registration if it is subject to comparable, comprehensive supervision and regulation by the CFTC. *See* 15 U.S.C. 78c-4(e).

Commission as a national securities exchange or an SBSEF, or has received an exemption under section 3D(e) of the SEA.

Several commenters interpret the rule and the Commission's discussion of the rule in the Proposing Release to mean that a foreign SBS trading venue must have RFQ-to-3 and an order book for Required Transactions in order for transactions on that venue to qualify for a Rule 833(b) exemption.[621] These commenters, however, are incorrect in this understanding of the requirements for a Rule 833(b) exemption.

First, Rule 833(b)(2) does not contain a list of items that "are required," but rather lists items that the Commission "may consider" when it receives a request for a Rule 833(b) exemption.[622] And second, Rule 833(b)(2)(i) states, in relevant part, that the Commission may consider "the extent to which the security-based swaps traded in the foreign jurisdiction covered by the request are subject to a trade execution requirement *comparable to* that in section 3C(h) of the Act … and the Commission's rules thereunder." (Emphasis added.) In the Proposing Release, the Commission described this requirement by stating that "a trade execution requirement in a foreign jurisdiction would not be comparable to the trade execution requirement under the SEA if the foreign jurisdiction's rules did not require SBS products subject to that requirement to be executed through means comparable to Required Transactions as described in Rule 815 (e.g., if the foreign jurisdiction allowed the use of single-dealer platforms to discharge any mandatory trading execution requirement in that jurisdiction)."[623] That is, the Commission's proposed rule would not require foreign SBS trading venues to have RFQ-to-3 and an order book in order for the Commission to consider their SBS executions for an exemption under Rule 833(b).

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621 *See supra* notes 597–599 and accompanying text.

622 Rule 833(b)(2).

623 Proposing Release, *supra* note 1, 87 FR at 28925 (emphasis added).

While, as commenters correctly state, for Required Transactions, Rule 815 requires SBS transactions to be executed through a limit order book or an RFQ-to-3 system,[624] neither the text of Rule 833(b) nor the Commission's description of Rule 833(b) states that a limit order book or an RFQ-to-3 system is required to receive a Rule 833(b) exemption.[625] The phrase "comparable to" does not carry the same meaning as phrases such as "identical to" or "substantially similar to," and the Commission uses this phrase with respect to Rule 833(b) exemptions because SBS transactions would not be disqualified from receiving a Rule 833(b) exemption simply because they were not executed through a limit order book or an RFQ-to-3 system. Rather, the Commission agrees with commenters that there may be foreign SBS trading venues—many of which have already received exemptive relief from the CFTC for swaps trading[626]—that may be appropriate candidates for exemptive relief, that are subject to what may be considered robust regulatory regimes for SBS trading. With respect to such foreign SBS trading venues, the Commission encourages market participants to submit a request for exemptive relief under Rule 833(b) if they seek to be exempt from the Commission's trade execution requirement for their SBS transactions.[627]

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624 *See supra* section V.E (discussing methods of execution and Rule 815).

625 In the Proposing Release, the Commission stated its preliminary belief that "the use of single-dealer platforms to discharge any mandatory trading execution requirement" would not meet the proposed rule's requirements. *See* Proposing Release, *supra* note 1, 87 FR at 28925.

626 *See* www.cftc.gov/International/ForeignMarketsandProducts/ExemptSEFs (listing foreign swap trading facilities that the CFTC has exempted from its SEF registration requirements, including certain such facilities in the European Union, Japan, and Singapore). Market practices continued in this regard without change after the United Kingdom ("UK") withdrew from the European Union, based upon a CFTC staff no-action letter addressing certain UK swap trading facilities. *See* CFTC Letter No. 22-16 (Dec. 1, 2022), *available at* https://www.cftc.gov/csl/22-16/download.

627 Several commenters describe the negative consequences that would occur because, they believe, the Commission's Rule 833(b) exemption would require foreign jurisdictions to require RFQ-to-3 and order book methods of execution, which these commenters believe forecloses many foreign trading venues from obtaining exemptive relief from the Commission for their SBS trading even though they have received similar exemptions from their CFTC. *See supra* notes 602–611 and accompanying text. Similarly, one commenter requests that, in the alternative, the Commission grant an exemption from the trade execution

Certain commenters also object that, in their understanding, a Rule 833(b) exemption request would require a "rule-by-rule" comparison or analysis,[628] which one commenter characterized as unduly burdensome.[629] In addition to Rule 833(b)(2)(i) discussed above, another relevant factor (among others) that the Commission may consider is whether the trading venues in the foreign jurisdiction are subject to regulation and supervision comparable to that under the SEA, including section 3D of the SEA and the Commission's rules thereunder, which the Commission described in the Proposing Release to include being subject to rules designed to foster comparable levels of pre- and post-trade transparency, access, and liquidity.[630]

An 833(b) exemptive request generally should include an analysis that could assist the Commission's determination as to whether the regulation and supervision of a foreign SBS trading venue in an applicable foreign jurisdiction is subject to regulation and supervision comparable to that under the SEA. Given the central roles the jurisdiction's applicable laws, rules and regulations, as well as a foreign SBS trading venue's own rules, play in such a determination, an exemptive request generally should include an analysis of these requirements. A precise form of any such analysis—whether it is done as a "rule-by-rule" comparison or through some other methodology (e.g., in a more holistic manner)—is not specified by Rule

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requirement if the SBS transaction at issue is subject to mandatory trading in another jurisdiction. *See supra* note 616 and accompanying text. As the Commission has explained, Rule 833(b) exemptions are not limited to those jurisdictions that require RFQ-to-3 and order books, but rather Rule 833(b)(2)(i) states that the Commission may consider the extent to which SBS transactions are subject to a trade execution requirement comparable to such methods of execution. Accordingly, SEFs would not be foreclosed from obtaining exemptive relief from the Commission for their SBS trading. For this reason, the Commission also does not agree with the commenter's suggested alternative to grant an exemption from the trade execution requirement if the SBS transaction at issue is subject to mandatory trading in another jurisdiction, because exemptive relief under 833(b) may be applied for in such instances, which would give the Commission the opportunity to appropriately consider the applicable facts and circumstances.

628 *See supra* notes 600–601 and accompanying text.

629 *See supra* note 600 and accompanying text.

630 *See* Proposed Rule 833(b)(2)(ii) and Proposing Release, *supra* note 1, 87 FR at 28925.